



Bank Secrecy Act/ Anti-Money Laundering Examination Manual

Federal Financial Institutions Examination Council

Board of Governors of the Federal Reserve System, Federal Deposit Insurance Corporation,
National Credit Union Administration, Office of the Comptroller of the Currency,
Consumer Financial Protection Bureau and State Liaison Committee

Downloaded Manual Sections

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ASSESSING THE BSA/AML COMPLIANCE PROGRAM

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Objective: *Assess whether the bank has designed, implemented, and maintains an adequate BSA/AML compliance program that complies with BSA regulatory requirements.*

Banks must establish and maintain procedures reasonably designed to assure and monitor compliance with BSA regulatory requirements (BSA/AML compliance program).¹ The BSA/AML compliance program² must be written, approved by the board of directors,³ and noted in the board minutes. To achieve the purposes of the BSA, the BSA/AML compliance program should be commensurate with the bank's ML/TF and other illicit financial activity risk profile. Refer to the [BSA/AML Risk Assessment](#) section and [Appendix I - Risk Assessment Link to the BSA/AML Compliance Program](#) for more information.

Written policies, procedures, and processes alone are not sufficient to have an adequate BSA/AML compliance program; practices that correspond with the bank's written policies, procedures, and processes are needed for implementation. Importantly, policies, procedures, processes, and practices should align with the bank's unique ML/TF and other illicit financial activity risk profile. The BSA/AML compliance program must provide for the following requirements:⁴

- A system of internal controls to assure ongoing compliance.
- Independent testing for compliance to be conducted by bank personnel or by an outside party.
- Designation of an individual or individuals responsible for coordinating and monitoring day-to-day compliance (BSA compliance officer).
- Training for appropriate personnel.

In addition, the BSA/AML compliance program must include a customer identification program (CIP) with risk-based procedures that enable the bank to form a reasonable belief that it knows

¹ 12 USC 1818(s) and 12 USC 1786(q).

² The Federal Reserve requires Edge and agreement corporations and U.S. branches, agencies, and other offices of foreign banks supervised by the Federal Reserve to establish and maintain procedures reasonably designed to ensure and monitor compliance with the BSA and related regulations (refer to Regulation K, 12 CFR 211.5(m)(1) and 12 CFR 211.24(j)(1)). Because the BSA does not apply extraterritorially, foreign offices of domestic banks are expected to have policies, procedures, and processes in place to protect against risks of money laundering and terrorist financing (12 CFR 208.63, 12 CFR 326.8, and 12 CFR 21.21).

³ The Federal Reserve, the FDIC, and the OCC, each require the U.S. branches, agencies, and representative offices of the foreign banks they supervise operating in the United States to develop written BSA compliance programs that are approved by their respective bank's board of directors and noted in the minutes, or that are approved by delegates acting under the express authority of their respective bank's board of directors to approve the BSA compliance programs. "Express authority" means the head office must be aware of its U.S. AML program requirements and there must be some indication of purposeful delegation.

⁴ 12 CFR 208.63, 12 CFR 211.5(m), and 12 CFR 211.24(j) (Federal Reserve); 12 CFR 326.8 (FDIC); 12 CFR 748.2 (NCUA); 12 CFR 21.21 (OCC).

the true identity of its customers. The BSA/AML compliance program must also include appropriate risk-based procedures for conducting ongoing customer due diligence (CDD) and complying with beneficial ownership requirements for legal entity customers as set forth in regulations issued by Financial Crimes Enforcement Network (FinCEN). Refer to the [Customer Identification Program](#), [Customer Due Diligence](#), and [Beneficial Ownership Requirements for Legal Entity Customers](#) sections for more information.

The assessment of the adequacy of the bank's BSA/AML compliance program is bank-specific, and examiners should consider all pertinent information. A review of the bank's written policies, procedures, and processes is a first step in determining the overall adequacy of the BSA/AML compliance program. The completion of examination and testing procedures is necessary to support overall conclusions regarding the BSA/AML compliance program. BSA/AML examination findings should be discussed with relevant bank management, and findings must be included in the report of examination (ROE) or supervisory correspondence.

Preliminary Evaluation

Once examiners complete the review of the bank's BSA/AML compliance program, they should develop and document a preliminary assessment of the bank's program. At this point, examiners should revisit the initial BSA/AML examination plan to determine whether additional areas of review are necessary to assess the adequacy of the bank's BSA/AML compliance program, relative to its risk profile, and the bank's compliance with BSA regulatory requirements. These adjustments to the initial examination plan could be based on information identified during the review, such as a new product or business line at the bank or independent testing report findings. Examiners should document and support any changes to the examination plan, if necessary, then proceed to the applicable examination and testing procedures in *Assessing Compliance with BSA Regulatory Requirements, Risks Associated with Money Laundering and Terrorist Financing*, and [Office of Foreign Assets Control](#). Once all relevant examination and testing procedures are completed as documented in the examination plan, examiners should proceed to [Developing Conclusions and Finalizing the Examination](#).

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BSA/AML INTERNAL CONTROLS

Objective: *Assess the bank's system of internal controls to assure ongoing compliance with BSA regulatory requirements.*

The board of directors, acting through senior management, is ultimately responsible for ensuring that the bank maintains a system of internal controls to assure ongoing compliance with BSA regulatory requirements.¹ Internal controls are the bank's policies, procedures, and processes designed to mitigate and manage ML/TF and other illicit financial activity risks and to achieve compliance with BSA regulatory requirements. The board of directors plays an important role in establishing and maintaining an appropriate culture that places a priority on compliance, and a structure that provides oversight and holds senior management accountable for implementing the bank's BSA/AML internal controls. The system of internal controls, including the level and type, should be commensurate with the bank's size or complexity, and organizational structure. Large or more complex banks may implement specific departmental internal controls for BSA/AML compliance. Departmental internal controls typically address risks and compliance requirements unique to a particular line of business or department and are part of a comprehensive, bank-wide BSA/AML compliance program.

Examiners should determine whether the bank's internal controls are designed to assure ongoing compliance with BSA regulatory requirements and:

- Incorporate the bank's BSA/AML risk assessment and the identification of ML/TF and other illicit financial activity risks, along with any changes in those risks.
- Provide for program continuity despite changes in operations, management, or employee composition or structure.
- Facilitate oversight of information technology sources, systems, and processes that support BSA/AML compliance.
- Provide for timely updates in response to changes in regulations.
- Incorporate dual controls and the segregation of duties to the extent possible. For example, employees who complete the reporting forms (such as suspicious activity reports (SARs), currency transaction reports (CTRs), and CTR exemptions) generally should not also be responsible for the decision to file the reports or grant the exemptions.
- Include mechanisms to identify and inform the board of directors, or a committee thereof, and senior management of BSA compliance initiatives, identified compliance deficiencies and corrective action taken, and notify the board of directors of SARs filed.
- Identify and establish specific BSA compliance responsibilities for bank personnel and provide oversight for execution of those responsibilities, as appropriate.

This list is not all-inclusive and should be tailored to reflect the bank's ML/TF and other illicit financial activity risk profile. More information concerning individual regulatory requirements

¹ 12 CFR 208.63(c)(1), (Federal Reserve); 12 CFR 326.8(c)(1) (FDIC); 12 CFR 748.2(c)(1) (NCUA); 12 CFR 21.21(d)(1) (OCC).

and specific risk areas is in the *Assessing Compliance with BSA Regulatory Requirements and Risks Associated with Money Laundering and Terrorist Financing* sections.

Examiners should determine whether the bank's system of internal controls is designed to mitigate and manage the ML/TF and other illicit financial activity risks, and comply with BSA regulatory requirements. Examiners should assess the adequacy of internal controls based on the factors listed above.

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BSA/AML INDEPENDENT TESTING

Objective: *Assess the adequacy of the bank's independent testing program.*

The purpose of independent testing (audit) is to assess the bank's compliance with BSA regulatory requirements, relative to its risk profile, and assess the overall adequacy of the BSA/AML compliance program. Independent testing should be conducted by the internal audit department, outside auditors, consultants, or other qualified independent parties.¹

Banks that do not employ outside auditors or consultants or do not have internal audit departments may comply with this requirement by using qualified bank staff who are not involved in the function being tested. Banks engaging outside auditors or consultants should ensure that the persons conducting the BSA/AML independent testing are not involved in other BSA-related functions at the bank that may present a conflict of interest or lack of independence, such as training or developing policies and procedures. Regardless of who performs the independent testing, the party conducting the BSA/AML independent testing should report directly to the board of directors or to a designated board committee comprised primarily, or completely, of outside directors. Banks with a community focus, less complex operations, and lower-risk profiles for ML/TF and other illicit financial activities may consider utilizing a shared resource as part of a collaborative arrangement to conduct independent testing.²

There is no regulatory requirement establishing BSA/AML independent testing frequency. Independent testing, including the frequency, should be commensurate with the ML/TF and other illicit financial activity risk profile of the bank and the bank's overall risk management strategy. The bank may conduct independent testing over periodic intervals (for example, every 12-18 months) and/or when there are significant changes in the bank's risk profile, systems, compliance staff, or processes. More frequent independent testing may be appropriate when errors or deficiencies in some aspect of the BSA/AML compliance program have been identified or to verify or validate mitigating or remedial actions.

Independent testing of specific BSA requirements should be risk-based and evaluate the quality of risk management related to ML/TF and other illicit financial activity risks for significant banking operations across the organization. Risk-based independent testing focuses on the bank's risk assessment to tailor independent testing to the areas identified as being of greatest risk and concern. Risk-based independent testing programs vary depending on the bank's size or complexity, organizational structure, scope of activities, risk profile, quality of control functions, geographic diversity, and use of technology. Risk-based independent testing should include evaluating pertinent internal controls and information technology sources, systems, and processes used to support the BSA/AML compliance program. Consideration should also be given to the expansion into new product lines, services, customer types, and geographic locations through organic growth or merger activity.

¹ 12 CFR 208.63(c)(2) (Federal Reserve); 12 CFR 326.8(c)(2) (FDIC); 12 CFR 748.2(c)(2) (NCUA); 12 CFR 21.21(d)(2) (OCC)

² For detailed information on collaborative arrangements see "[Interagency Statement on Sharing Bank Secrecy Act Resources](#)," issued by Federal Reserve, FDIC, FinCEN, NCUA, and OCC, October 3, 2018.

The independent testing should evaluate the overall adequacy of the bank's BSA/AML compliance program and the bank's compliance with BSA regulatory requirements. This evaluation helps inform the board of directors and senior management of weakness, or areas in need of enhancements or stronger controls. Typically, this evaluation includes an explicit statement in the report(s) about the bank's overall compliance with BSA regulatory requirements. At a minimum, the independent testing should contain sufficient information for the reviewer (e.g., board of directors, senior management, BSA compliance officer, review auditor, or an examiner) to reach a conclusion about the overall adequacy of the BSA/AML compliance program.

To contain sufficient information to reach this conclusion, independent testing of the BSA/AML compliance program and BSA regulatory requirements may include a risk-based review of whether:

- The bank's BSA/AML risk assessment aligns with the bank's risk profile (products, services, customers, and geographic locations).
- The bank's policies, procedures, and processes for BSA compliance align with the bank's risk profile.
- The bank adheres to its policies, procedures, and processes for BSA compliance.
- The bank complies with BSA recordkeeping and reporting requirements (e.g., customer information program (CIP), customer due diligence (CDD), beneficial ownership, suspicious activity reports (SARs), currency transaction reports (CTRs) and CTR exemptions, and information sharing requests).
- The bank's overall process for identifying and reporting suspicious activity is adequate. This review may include evaluating filed or prepared SARs to determine their accuracy, timeliness, completeness, and conformance to the bank's policies, procedures, and processes.
- The bank's information technology sources, systems, and processes used to support the BSA/AML compliance program are complete and accurate. These may include reports or automated programs used to: identify large currency transactions, aggregate daily currency transactions, record monetary instrument sales and funds transfer transactions, and provide analytical and trend reports.
- Training is provided for appropriate personnel, tailored to specific functions and positions, and includes supporting documentation.
- Management took appropriate and timely action to address any violations and other deficiencies noted in previous independent testing and regulatory examinations, including progress in addressing outstanding supervisory enforcement actions, if applicable.

Auditors should document the independent testing scope, procedures performed, transaction testing completed, and any findings. All independent testing documentation and supporting workpapers should be available for examiner review. Violations; exceptions to bank policies, procedures, or processes; or other deficiencies noted during the independent testing should be documented and reported to the board of directors or a designated board committee in a timely

manner. The board of directors, or a designated board committee, and appropriate staff should track deficiencies and document progress implementing corrective actions.

Examiners should review relevant documents such as the auditor's report(s), scope, and supporting workpapers, as needed. Examiners should determine whether there is an explicit statement in the report(s) about the bank's overall compliance with BSA regulatory requirements or, at a minimum, sufficient information to reach a conclusion about the overall adequacy of the BSA/AML compliance program. Examiners should determine whether the testing was conducted in an independent manner. Examiners may also evaluate, as applicable,³ the subject matter expertise, qualifications and independence of the person or persons performing the independent testing. Examiners should determine whether the independent testing sufficiently covers ML/TF and other illicit financial activity risks within the bank's operations and whether the frequency is commensurate with the bank's risk profile. Examiners should also review whether violations; exceptions to policies, procedures, or processes; or other deficiencies are reported to the board of directors or a designated board committee in a timely manner, whether they are tracked, and whether corrective actions are documented.

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³ For more information, *see e.g.*, OCC Safety and Soundness Standards, 12 C.F.R. Part 30 App. D, II.L.

BSA COMPLIANCE OFFICER

Objective: *Confirm that the bank's board of directors has designated a qualified individual or individuals (BSA compliance officer) responsible for coordinating and monitoring day-to-day compliance with BSA regulatory requirements. Assess whether the BSA compliance officer has the appropriate authority, independence, access to resources, and competence to effectively execute all duties.*

The bank's board of directors must designate a qualified individual or individuals to serve as the BSA compliance officer.¹ The BSA compliance officer is responsible for coordinating and monitoring day-to-day BSA/AML compliance. The BSA compliance officer is also charged with managing all aspects of the BSA/AML compliance program, including managing the bank's compliance with BSA regulatory requirements. The board of directors is ultimately responsible for the bank's BSA/AML compliance and should provide oversight for senior management and the BSA compliance officer in the implementation of the bank's board-approved BSA/AML compliance program.²

The act by the bank's board of directors of appointing a BSA compliance officer is not, by itself, sufficient to meet the regulatory requirement to establish and maintain a BSA/AML compliance program reasonably designed to assure and monitor compliance with the BSA. The board of directors is responsible for ensuring that the BSA compliance officer has appropriate authority, independence, and access to resources to administer an adequate BSA/AML compliance program based on the bank's ML/TF and other illicit financial activity risk profile. The BSA compliance officer should regularly report the status of ongoing compliance with the BSA to the board of directors and senior management so that they can make informed decisions about existing risk exposure and the overall BSA/AML compliance program. Reporting to the board of directors or a designated board committee about the status of ongoing compliance should include pertinent BSA-related information, including the required notification of suspicious activity report (SAR) filings.

The BSA compliance officer is responsible for carrying out the board's direction, including the implementation of the bank's BSA/AML policies, procedures, and processes. The BSA compliance officer may delegate BSA/AML duties to staff, but the officer is responsible for overseeing the day-to-day BSA/AML compliance program.

The BSA compliance officer should be competent, as demonstrated by knowledge of the BSA and related regulations, implementation of the bank's BSA/AML compliance program, and understanding of the bank's ML/TF and other illicit financial activity risk profile associated with its banking activities. The actual title of the individual responsible for overall BSA compliance is not important; however, the individual's authority, independence, and access to resources within the bank is critical.

Indicators of appropriate authority of the BSA compliance officer may include senior management seeking the BSA compliance officer's input regarding: the ML/TF and other illicit

¹ 12 CFR 208.63(c)(3), (Federal Reserve); 12 CFR 326.8(c)(3) (FDIC); 12 CFR 748.2(c)(3) (NCUA); 12 CFR 21.21(d)(3) (OCC).

² FinCEN (2014), "Advisory to U.S. Financial Institutions on Promoting a Culture of Compliance," FIN-2014-A007.

financial activity risks related to expansion into new products, services, customer types and geographic locations; or operational changes, such as the implementation of, or adjustments to, systems that impact the BSA compliance function. Indicators of appropriate independence of the BSA compliance officer may include, but are not limited to: clear lines of reporting and communication ultimately up to the board of directors or a designated board committee that do not compromise the BSA compliance officer's independence, the ability to undertake the BSA compliance officer's role without undue influence from the bank's business lines, and identification and reporting of issues to senior management and the board of directors.

The BSA compliance officer should have access to suitable resources. This may include, but is not limited to: adequate staffing with the skills and expertise necessary for the bank's overall risk level (based on products, services, customers, and geographic locations), size or complexity, and organizational structure; and systems to support the timely identification, measurement, monitoring, reporting, and management of the bank's ML/TF and other illicit financial activity risks.

Examiners should confirm that the bank's board of directors has designated an individual or individuals responsible for the overall BSA/AML compliance program who are appropriately qualified. Examiners should review reports to the board of directors and senior management regarding the status of ongoing compliance and pertinent BSA-related information, including the required notification of SAR filings. Examiners should confirm that the BSA compliance officer has the appropriate authority, independence, and access to resources.

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BSA/AML TRAINING

Objective: *Confirm that the bank has developed a BSA/AML training program and delivered training to appropriate personnel.*

Banks must provide training for appropriate personnel.¹ Training should cover the aspects of the BSA that are relevant to the bank and its risk profile, and appropriate personnel includes those whose duties require knowledge or involve some aspect of BSA/AML compliance. Training should cover BSA regulatory requirements, supervisory guidance, and the bank's internal BSA/AML policies, procedures, and processes. Training should be tailored to each individual's specific responsibilities, as appropriate. In addition, targeted training may be necessary for specific ML/TF and other illicit financial activity risks and requirements applicable to certain business lines or operational units, such as lending, trust services, foreign correspondent banking, and private banking. An overview of the purposes of the BSA and its regulatory requirements are typically provided to new staff during employee orientation or reasonably thereafter. The BSA compliance officer and BSA compliance staff should receive periodic training that is relevant and appropriate to remain informed of changes to regulatory requirements and changes to the bank's risk profile.

The board of directors and senior management should receive foundational training and be informed of changes and new developments in the BSA, including its implementing regulations, the federal banking agencies' regulations, and supervisory guidance. While the board of directors may not require the same degree of training as banking operations personnel, the training should provide board members with sufficient understanding of the bank's risk profile and BSA regulatory requirements. Without a general understanding of the BSA, it is more difficult for the board of directors to provide adequate oversight of the BSA/AML compliance program, including approving the written BSA/AML compliance program, establishing appropriate independence for the BSA/AML compliance function, and providing sufficient BSA/AML resources.

Periodic training for appropriate personnel should incorporate current developments and changes to BSA regulatory requirements; supervisory guidance; internal policies, procedures, and processes; and the bank's products, services, customers, and geographic locations. Changes to information technology sources, systems, and processes used in BSA compliance may be covered during training for appropriate personnel. The training program may be used to reinforce the importance that the board of directors and senior management place on the bank's compliance with the BSA and that all employees understand their role in maintaining an adequate BSA/AML compliance program.

Training programs should include examples of money laundering and suspicious activity monitoring and reporting that are tailored, as appropriate, to each operational area. For example, training for tellers should focus on examples involving large currency transactions or suspicious activities, and training for the loan department should provide examples involving money laundering through lending arrangements. The bank should provide training for any agents who

¹ 12 CFR 208.63(c)(4) (Federal Reserve); 12 CFR 326.8(c)(4) (FDIC); 12 CFR 748.2(c)(4) (NCUA); 12 CFR 21.21(d)(4) (OCC).

are responsible for conducting BSA-related functions on behalf of the bank. If the bank relies on another financial institution or other party to perform training, appropriate documentation should be maintained.²

Banks should document their training programs. Training and testing materials (if training-related testing is used by the bank), and the dates of training sessions should be maintained by the bank. Additionally, training materials and records should be available for auditor or examiner review. The bank should maintain documentation of attendance records and any failures of personnel to take the required training in a timely manner, as well as any corrective actions taken to address such failures.

Examiners should determine whether all personnel whose duties require knowledge of the BSA are included in the training program and whether materials include training on BSA regulatory requirements, supervisory guidance, and the bank's internal BSA/AML policies, procedures, and processes.

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² For more information on collaborative arrangements, see "[Interagency Statement on Sharing Bank Secrecy Act Resources](#)," issued by Federal Reserve, FDIC, FinCEN, NCUA, and OCC, October 3, 2018.